

NexaHome Loan Policy

Retail Lending Policy | Home Loans | Product code NEXA-HL

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Owner	Head of Retail Credit Policy, NexaBank

1. Purpose and scope

1.1 Purpose. This policy sets out the eligibility, pricing, fees, security and prepayment terms for NexaHome Loan, a loan for the purchase, construction, extension or improvement of a residential property, or the balance transfer of an existing home loan.

1.2 Applicability. The version of this policy in force on the **sanction date** of a loan governs that loan for its life, except where a later instrument expressly states otherwise. Applications received under an earlier version but sanctioned after the effective date are governed by this version.

2. Definitions

2.1 Defined terms. **NRLR** means the NexaBank Repo-Linked Rate published on the Rate Card. **Bureau Score** means the credit bureau score on the 300 to 900 scale pulled at the time of sanction. **FOIR** (Fixed Obligation to Income Ratio) means total monthly fixed obligations including the proposed EMI divided by net monthly income. **Net monthly income** means verified monthly take-home income for salaried applicants. **Sanction date** means the date on the sanction letter. **Outstanding principal** means principal disbursed less principal repaid.

3. Eligibility

3.1 Age. Minimum age at application is 21 years. Maximum age at application is 58 years for salaried applicants and 60 years for self-employed applicants. Age at loan maturity must not exceed 60 years (salaried) or 65 years (self-employed).

3.2 Minimum income. Salaried applicants must have net monthly income of at least ₹25,000. Self-employed applicants must have annual income of at least ₹4,00,000 as shown in the latest income tax return.

3.3 Bureau score. The minimum Bureau Score for the standard rate card is 650. For scores below 650, applications below this score fall outside the policy and are not eligible for the standard product.

3.4 FOIR limit. The maximum FOIR depends on net monthly income as shown below.

Net monthly income	Maximum FOIR
Any income	50%

3.5 Applicant categories. The standard criteria in this policy cover salaried and self-employed applicants only. Other categories, including pensioners and those with no regular income, are outside the standard criteria and are handled by the branch on an exception basis.

4. Loan amount and tenure

4.1 Loan amount. Minimum loan amount is ₹5,00,000. Maximum loan amount is ₹5,00,00,000.

4.2 Tenure. Minimum tenure is 60 months (5 years). Maximum tenure is 300 months (25 years), subject to the age at maturity limits in clause 3.1.

5. Interest rate

5.1 Benchmark. The floating interest rate is the NRLR on the sanction date plus the spread in clause 5.2. The NRLR history is published on the Rate Card.

5.2 Spread by Bureau Score. The spread over NRLR depends on the Bureau Score at sanction.

Bureau score band	Spread over NRLR (per annum)
800 to 900	2.25%
750 to 799	2.55%
700 to 749	3.00%
650 to 699	3.50%

* The Bureau Score at sanction applies, not the score at application.

5.3 Rate reset. The floating rate is reset once a year, on 1 April following any change in NRLR. The EMI is held constant and the tenure adjusts, unless the borrower asks for an EMI revision.

5.4 Fixed-rate option. A borrower may opt for a fixed rate for the first 36 months from first disbursal. The fixed rate is the floating rate for the borrower plus 0.50%. At the end of the fixed period the loan converts to the floating rate in clause 5.1 on the then-current NRLR with the spread fixed at sanction.

6. Fees and charges

6.1 General. All fees are exclusive of GST at 18%, which is charged additionally. Fees, once paid, are non-refundable except where this policy states otherwise.

6.2 Processing fee. Processing fee is 0.50% of the sanctioned loan amount, subject to a minimum of ₹10,000 and a maximum of ₹25,000, plus GST.

6.3 Legal and technical charges. A non-refundable charge of ₹7,500 plus GST covers legal verification and technical valuation of the property.

6.4 Penal charges. Overdue instalments attract a penal charge of 2.00% per month on the overdue amount.

6.5 Other costs. Stamp duty, registration charges and insurance premiums are payable by the borrower at actuals and are not NexaBank fees.

7. Security and loan to value

7.1 Security. The loan is secured by a first mortgage on the residential property being financed. The property must have a clear and marketable title.

7.2 Loan to value (LTV). The maximum LTV depends on the loan amount and is applied to the lower of the agreement value and NexaBank's technical valuation.

Loan amount	Maximum LTV
Up to ₹30,00,000	90%
Above ₹30,00,000 and up to ₹75,00,000	80%
Above ₹75,00,000	75%

7.3 Property insurance. The borrower must keep the property insured against fire and allied perils for the loan tenure.

8. Prepayment and foreclosure

8.1 Foreclosure, floating rate. No foreclosure charge applies on a floating-rate loan, whether foreclosed from own funds or by balance transfer.

8.2 Foreclosure during a fixed-rate period. If a loan under the fixed-rate option is foreclosed during its fixed period, a charge of 2.00% of the outstanding principal plus GST applies. No charge applies once the loan has converted to the floating rate.

8.3 Part prepayment. Part prepayment is allowed at any time. The minimum part prepayment amount is ₹50,000. No charge applies on a floating-rate loan.

8.4 Notice. The borrower must give 7 calendar days notice for foreclosure or part prepayment.

9. Documentation and KYC

9.1 KYC. Sanction and disbursal require a verified KYC status as defined in POL-OPS-001.

9.2 Income documents. Salaried applicants provide recent salary slips and six months of bank statements. Self-employed applicants provide two years of income tax returns and business proof.

10. Document control

10.1 Version history.

Version	Effective from	Effective to	Note
1.0 (POL-HL-V1)	2023-04-01	2024-03-31	First issue

10.2 Supersession. First issue. No earlier NexaHome policy exists.